The Strategy, In Depth — A Plain-English Guide

autoPortfolio: the 3-sleeve book (Equity + Currency + Bonds)

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The big picture

You run one portfolio made of three independent "sleeves." Each does a different job, and they're deliberately kept separate so that when one struggles, the others don't have to.

Sleeve	Weight	What it is	Its job
Equity	63.9%	30 large US stocks	the return engine
Currency (carry)	26.1%	long high-rate / short low-rate currencies	diversifier
Bonds	10.0%	US Treasuries (IEF)	shock absorber

Those three weights are the whole allocation. The rest of this guide explains, in order: what each sleeve holds, then the two things people find most confusing — how exposure changes and when everything rebalances — and finally a full worked month so you can see it all move together.

Sleeve 1 — Equity (the engine, 63.9%)

What it holds

The 30 most heavily-traded large US stocks, each held in equal size (about 1/30 of the sleeve), with no more than 5 from any one industry.

Right now that's names like Apple, Microsoft-scale companies, big banks, healthcare, energy, industrials — 30 of them, spread across 8 sectors.

Why these rules (each was tested, simple won)

- Most-traded ("liquid") names → cheap to buy and sell, realistic to run.
- Equal weight (1/30 each) → we tested "smarter" weighting schemes; plain equal weight beat all of them. This is a famous, hard-to-beat result.
- Max 5 per sector → stops the book quietly becoming an all-tech bet. Testing confirmed the edge is being broad and liquid, not a sector bet.

The safety feature: it dials risk up and down

This is the exposure part (explained in full in its own section below). In short: when markets get stormy, the equity sleeve automatically moves part of itself to cash to keep risk steady; when calm, it's fully invested. It only ever reduces risk — it never borrows to add more.

Sleeve 2 — Currency carry (the diversifier, 26.1%)

How trading a currency works (the one-minute version)

You never own a currency by itself — you always hold one against another. Every currency also pays an interest rate set by its central bank. That interest rate is the whole game here.

What it does

> Hold ("go long") the currencies that pay high interest, and borrow / sell short ("go short") the currencies that pay low interest. Pocket the difference in interest.

That interest gap is called carry. It's like borrowing where money is cheap and depositing where it pays well, and keeping the spread.

- Doing both at once makes the sleeve "dollar-neutral" — equal money long and short — so you're not betting on the dollar overall, only on high-rate currencies beating low-rate ones.
- Right now the book is roughly: long Mexican peso, Hungarian forint, South African rand (high rates); short Swiss franc, Canadian dollar, Swedish krona (low rates).

Why it diversifies

Its ups and downs have almost nothing to do with the stock market — and crucially, in the stock market's worst months it does not crash alongside stocks. That "independence when it matters" is exactly why it earns a place next to the equity engine.

Its one real danger is a "carry crash": high-rate currencies (especially emerging ones) can occasionally drop sharply all at once. So it earns steady small gains, then occasionally takes a quick hit — which is why we size it carefully and keep it a satellite, not the main event.

Sleeve 3 — Bonds (the shock absorber, 10%)

What it holds

A single, simple holding: IEF, an ETF of US Treasury notes (government bonds, 7–10 year maturity). US government debt — the safest issuer there is.

Why it's here

In a normal recession-type scare, investors flee to Treasuries and the central bank cuts interest rates — so bonds tend to rise exactly when stocks fall. That makes them a shock absorber: a small, steady holding that softens the ride and pays interest (~4–5% a year right now) while it waits.

The honest caveat

Bonds are a hedge against growth shocks, not inflation shocks. In 2022, inflation spiked, the Fed hiked, and bonds fell with stocks. So we keep the bond sleeve small (10%) and use intermediate maturity (not long-dated, which gets hurt worse in an inflation shock). At 10% it makes the ride a little smoother without dragging on returns much.

How exposure changes (the part everyone asks about)

"Exposure" = how much of the equity sleeve is actually invested versus parked in cash. It's a dial from 0% to 100%, and it moves on its own.

The rule, in words

> Measure how jumpy the equity book has been lately. If it's calmer than our 15% risk target, stay fully invested. If it's jumpier, invest less and hold the rest in cash — just enough to keep the risk near 15% a year.

The exact dial:

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exposure  =  the smaller of:  100%   or   15% ÷ (recent book volatility)
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- Calm markets (volatility below 15%) → the formula wants more than 100%, but we cap at 100%. Fully invested.
- Turbulent markets (volatility above 15%) → exposure drops below 100%, and the shortfall sits in cash.

A few concrete examples:

Recent volatility	Exposure	What it means
12% (calm)	100%	fully invested
17% (normal)	88%	12% moved to cash
25% (turbulent)	60%	40% in cash
40% (crisis)	38%	most of it in cash

Where does the de-risked cash go? It stays in cash. We tested moving it into bonds and into commodities instead — both lost, because you'd be de-risking into a risky asset at the worst possible moment. Cash earns ~4–5% risk-free right now, and during turbulence that's exactly where you want it.

The "band" — why it doesn't fidget

Volatility wiggles a little every day. If we retraded every wiggle, we'd rack up costs. So there's a ±10% no-trade band: exposure only actually changes when the new target is more than 10% away from where we already are. Small drifts are ignored; only meaningful risk changes trigger a trade.

How often we check

Every week (Mondays). Volatility is checked weekly and the exposure dial is nudged if it's outside the band. This was chosen deliberately: weekly gives you almost the same protection as checking daily, at a fraction of the trading.

The rebalance calendar (when things actually happen)

Different sleeves move on different clocks. Here's the whole schedule:

How often	What happens
Weekly (Mon)	Equity exposure check — nudge the invested-vs-cash dial if volatility moved it outside the ±10% band.
Monthly	Currency book — re-rank currencies by interest rate; adjust the long/short list. (Slow-moving; usually small changes.)
Quarterly (~every 63 trading days)	Equity holdings — re-pick the 30 most-liquid names, re-apply the sector cap, reset to equal weight.
Rarely	Bonds — 10% IEF is a strategic hold; it only trades to top back up toward 10% as the other sleeves drift.

So on a typical week, the only thing that moves is a small equity-exposure nudge. Once a month the currency list gets a small refresh. Once a quarter the equity names get re-picked. Nothing here is high-frequency — turnover is low by design, which keeps costs down.

A full worked month

Let's walk through what the system actually does, start to finish.

Week 1 — Monday (exposure check). The book's recent volatility reads 17%. The dial wants exposure = 15% ÷ 17% = 88%. We were at 100%, and 88% is more than 10% away? No — it's a 12% drop, just outside the band — so we trim to 88%, moving 12% of the equity sleeve to cash. On a $40,000 book that's the equity sleeve going from fully invested to ~$22,400 invested / ~$3,100 cash.

Weeks 2–3 — Mondays. Volatility drifts to 16% then 18%. The dial wants 94% then 83% — both within 10% of our current 88%, so no trade. The band keeps us from fidgeting.

End of the month — currency refresh. We re-rank currencies by interest rate. The peso still pays the most, the franc still pays the least, so the long/short list barely changes — maybe one currency swaps in. A small adjustment.

Bonds. Untouched — still sitting at ~10% in IEF, quietly earning interest.

If it were also quarter-end — equity re-pick. We'd pull the 30 most-liquid names fresh, re-apply the 5-per-sector cap, and reset everyone to equal weight. Any name that fell out of the top-30 by trading volume gets sold; new ones get bought. This is the only time the holdings change.

Net result for the month: a couple of small exposure trims, a tiny currency tweak, no bond trades. Calm, low-turnover, risk kept near target.

What we deliberately DON'T do (and why)

A big part of the strategy is what we tested and rejected — because avoiding things that don't work is as important as doing things that do. Each of these was built, tested on real data against a "would random noise do this?" benchmark, and dropped when it didn't earn its keep:

- Commodities (oil, gold, crops…). Tested carry and trend strategies on 16 years of real futures data — both lost money. An optimizer couldn't rescue them either. Commodity strategies that worked decades ago have decayed. Rejected.
- Foreign stocks. Developed markets (Europe, Japan) are ~80% correlated to US stocks — nearly the same bet. Emerging-market stocks share a crash-tail with the currency sleeve. Rejected (adds risk, not diversification).
- News / sentiment signals. Tested news-tone, social positioning, and weather data as trading signals across stocks, currencies, and commodities. All indistinguishable from random noise. Published sentiment is already priced in. Rejected.
- Parking de-risked cash in bonds or commodities. Tested routing the equity de-risk slice into bonds/commodities instead of cash. Both lost — you'd de-risk right into a falling asset (e.g. bonds in 2022). Cash wins.

The theme: simple, liquid, diversified, and only what survives honest testing.

How we know it's real (the discipline)

Every result in this strategy was measured the careful way, to avoid fooling ourselves:

- No hindsight ("point-in-time"): backtests only ever used the names/data that were actually available at each past date, not today's winners looked up in reverse.
- Random-noise tests: every signal had to beat a distribution of random signals. Many promising ideas didn't, and were cut.
- Real costs: trading costs and spreads are subtracted, so paper edges that die in the real world are caught.
- Out-of-sample checks: strategies were fit on older data and tested on newer, held-out data — the honest test of whether an edge repeats.

This discipline is why the strategy is deliberately small and simple: most clever additions didn't survive it.

Current status

- Equity sleeve: live on Interactive Brokers (the 30-name book, auto-rebalanced on the schedule above).
- 3-sleeve design (Equity + Currency + Bonds): built and ready, verified in a dry-run. The equity + bond part is ready to trade live together (both are simple long holdings); the currency sleeve is fully specified but is brought live deliberately (short-selling currencies needs a careful setup).

One-page summary

	Equity	Currency (carry)	Bonds
Weight	63.9%	26.1%	10%
Holds	30 liquid US stocks, equal-weight	long high-rate / short low-rate FX	IEF (7–10y US Treasuries)
Job	return engine	diversifier	shock absorber
Rebalance	holdings quarterly; exposure weekly	monthly	rarely (top-up to 10%)
Safety	15% vol-target (de-risk to cash)	dollar-neutral, sized small	small + intermediate duration
Main risk	broad market fall	sudden “carry crash”	inflation shock (2022-style)

The de-risk dial: exposure = min(100%, 15% ÷ recent volatility), checked weekly, only trades outside a ±10% band, and the cash it frees up stays in cash.

Everything here is after realistic costs, uses point-in-time data (no hindsight), was validated out-of-sample and against random-noise benchmarks, and keeps only what survived. The result is a simple, broad, risk-managed three-sleeve book.